



“The current challenging period will only drive the company to make more prudent investment choices, and corporate governance standards will improve even more”

ROHIT CHAWDA

ACTING CHIEF EXECUTIVE OFFICER, TAURUS MUTUAL FUND

said Executive Director & CEO Suresh P. Manglani in ATGL's annual report. The investment planned is ₹18,000-20,000 crore. “The city gas distribution business carries no cash flow risk. With a debt-to-Ebitda ratio of just 1, there is no gearing involved,” says Bolinjkar. However, the new administered pricing mechanism has now linked gas prices to crude oil. “If global oil prices soar, the company may be required to purchase gas from the spot market, which could potentially impact its ability to maintain healthy margins,” says Bolinjkar. That’s where the diversification strategy to build e-mobility and compressed gas businesses for the future fits in well.

In FMCG, Adani Wilmar is gradually reducing its reliance on edible oils (79 per cent contribution in value) in favour of food and FMCG, which includes wheat flour, rice, pulses and sugar.

The Hard Assets

Days after the Hindenburg report, Gautam Adani had landed in Israel to complete the \$1.15-billion acquisition of Haifa Port. GQG's Jain interprets it as a clear vote of confidence, reflecting the Israeli government's trust in the group's competence. Haifa Port's Indian Ocean-Mediterranean route will strategically position the company. Adani Ports and Special Eco-

nomic Zone (APSEZ), which handles one-fourth of the country's cargo volumes through 14 ports, is also expected to commission India's largest trans-shipment hub in Vizhinjam, Kerala, and a port in Colombo. It has planned a capex of ₹4,000-4,500 crore in the current fiscal. “APSEZ is the best proxy to take part in the growing Indian economy, especially in the goods trade,” says Chawda of Taurus.

Then there's ACC-Ambuja Cements that the group acquired last year from Switzerland's Holcim for \$10.5 billion to become India's second-largest cement producer. In terms of expansion, it plans to double cement capacity to 140 million tonnes (MT). But first, it is taking advantage of group synergies to reduce costs. For instance, it can save ₹300-400 per tonne from energy costs, freight costs, and forwarding costs.

Risk & Reward

Explaining the overall investment philosophy, Singh says the group currently has a portfolio of 10 companies. “We will have close to 14-15 companies by around 2033. We have an objective to hold a certain percentage in our portfolio. Within that portfolio, when we recycle capital, it is not dilution,” he says. The promoters want to own the majority and the highest stake possible in the early-stage companies. “Our objective is to get our portfolio into a position where the current cash that we hold in the bank and free cash flow is greater than any debt maturity requirement. At a portfolio level, we will get there by 2025,” he says.

While the Supreme Court-constituted expert committee on the Adani stocks crash did not find any regulatory failure, the sword of ongoing investigations by the Securities and Exchange Board of India (Sebi) is still hanging over the group's head. “We remain confident in our governance and disclosure standards,” Gautam Adani had said, putting up a brave front before shareholders. The group's stocks are showing a gradual recovery, and it is also expanding internationally. For instance, Adani was in Sri Lanka in July, rubbing shoulders with President Ranil Wickremesinghe. With a container terminal and a wind project already in his bag, he pitched for a green hydrogen plant.

Amidst the crisis, Gautam Adani's greatest asset remains his management team and board, standing firmly by his side. If he successfully navigates the current challenges, he will surely write a new chapter in his entrepreneurial journey, possibly even introducing the term ‘permasuccess’ to the Collins Dictionary. **BT**

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